

## **Chapter XIV**

### **Regulatory Restrictions and Limits**

#### **110. Large Exposure Framework (LEF)**

**110.1** Prudential guidelines on exposure norms aim at addressing credit risk concentration in NBFCs. These instructions set out to identify large exposures, refine the criteria for grouping of connected counterparties and put in place reporting norms for large exposures. NBFCs shall follow the Large Exposure Framework as detailed below.

#### **110.2 Definitions**

110.2.1 “Tier 1 capital” for the purpose of the guidelines shall have the same meaning as defined in [paragraph 5.1.34](#) of these Directions. Further, profits accrued during the year will be reckoned as Tier 1 capital for the purpose of LEF after making necessary adjustments as per the guidelines applicable to NBFC-UL. The NBFC-UL shall obtain an external auditor’s certificate on completion of the augmentation of capital and submit the same to the Department of Supervision of the Reserve Bank before reckoning the additions to capital funds.

110.2.2 “Eligible capital base” means Tier 1 capital as defined at paragraph 110.2.1 above.

110.2.3 “Control<sup>38</sup>” means the right to appoint majority of the directors or to control the management or policy decisions exercisable by a person or persons acting individually or in concert, directly or indirectly, including by virtue of their shareholding or management rights or shareholders’ agreements or voting agreements or in any other manner.

#### **110.3 Scope of application**

110.3.1 The guidelines shall be applicable to NBFCs, both at the solo level and at the consolidated (group) level.

110.3.2 Exposure shall comprise both on and off-balance sheet exposures by the NBFCs.

#### **110.4 Scope of counterparties and exemptions**

110.4.1 NBFC’s exposure to all its counterparties and groups of connected counterparties, excluding the exposures listed below, will be considered for exposure limits. The exposures that are exempted from the LEF are listed below:

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<sup>38</sup> Clause (27) of section 2 of the Companies Act, 2013

- (i) Exposure to the Government of India and State Governments which are eligible for zero percent risk weight under capital regulations applicable to NBFC;
- (ii) Exposure where the principal and interest are fully guaranteed by the Government of India;
- (iii) NBFC's exposure to group entities that is deducted from its Owned Funds to arrive at the NOF.
- (iv) Investment in the equity capital of the insurance company to the extent specifically permitted in writing by the Reserve Bank.

110.4.2 Exposures shall be permitted to be offset with credit risk transfer instruments as per principle indicated at paragraph 110.6.1 and the indicative list of such instruments is provided below:

- (i) Cash margin/ caution money/ security deposit against which right to set off is available, held as collateral against the advances;
- (ii) Central Government guaranteed claims which attract zero percent risk weight for capital computation;
- (iii) State Government guaranteed claims which attract 20 percent risk weight for capital computation;
- (iv) For corporate bonds held in current category and hedged by Credit Default Swap (CDS), where there is no mismatch between the CDS and the hedged bond, the credit protection has been permitted to be recognised to a maximum of 80 percent of the exposure hedged. The remaining 20 percent of the exposure shall be recognised on the original counterparty. For corporate bonds held in permanent category and hedged by CDS where there is no mismatch between the CDS and the hedged bond, the NBFC can recognise full credit protection for the underlying asset. The exposure of the original counterparty shall stand fully substituted by the exposure to the protection seller.

Except for clauses (i) and (ii) of paragraph 110.4.2 above, in all other cases where exposure to the original counterparty is reduced on account of an eligible credit risk transfer instrument provided by another counterparty for that exposure, it needs to be recognized as an exposure to that extent on the credit risk transfer instrument provider.

110.4.3 Where two (or more) entities falling outside the scope of the sovereign exemption are controlled by or are economically dependent on an entity that falls within the scope of

the sovereign exemption (paragraph 110.4.1), and are otherwise not connected, those entities will not be deemed to constitute a group of connected counterparties.

110.4.4 NBFC's exposure to an exempted entity which is hedged by a credit derivative shall be treated as an exposure to the counterparty providing the credit protection notwithstanding the fact that the original exposure is exempted.

## **110.5 The Large Exposure Limits**

### **110.5.1 Single Counterparty**

(i) The sum of all the exposure values of an NBFC to a single counterparty must not be higher than 20 percent of the NBFC's available eligible capital base at all times.

(ii) Board of the NBFC may allow additional 5 percent exposure beyond 20 percent but at no time higher than 25 percent of the NBFC's eligible capital base, subject to the following conditions:

(a) NBFC has a policy approved by its board of directors setting out conditions under which exposure beyond 20 percent may be considered; and

(b) NBFC shall record in writing the exceptional reasons for which exposure beyond 20 percent is being allowed in a specific case.

**Provided that** an NBFC-IFC may further exceed the exposure limit by 5 percent of Tier 1 capital for exposure to a single counterparty.

**Provided further that** an NBFC may exceed the exposure limit by 5 percent of its Tier 1 capital for exposure to a single counterparty, if the additional exposure is on account of infrastructure 'loan and/ or investment'. However, single counterparty limit shall not exceed 25 percent in any case for NBFC (other than IFC) and 30 percent for NBFC-IFC.

### **110.5.2 Groups of Connected Counterparties:**

(i) The sum of all exposure values of an NBFC to a group of connected counterparties shall not be higher than 25 percent of the NBFC's available eligible capital base at all times.

**Provided that** an IFC may exceed the exposure limit by 10 percent of its Tier 1 capital for exposure to a group of connected counterparties.

**Provided further that** an NBFC may exceed the exposure limit by 10 percent of its Tier 1 capital for exposure to a group of connected counterparties, if the additional exposure is on account of infrastructure 'loan and/or investment'.

(ii) Each NBFC shall frame a policy approved by its board to determine the existence of a group of connected counterparties. The policy framed, and assessments made under such a policy shall be subject to supervisory scrutiny.

(iii) In exceptional cases, if a NBFC demonstrates to the Reserve Bank that despite control being established, such control does not necessarily result in the entities concerned constituting a group of connected counterparties (e.g., existence of control between counterparties due to specific circumstances and corporate governance safeguards), then it is not required to classify the entities as a group of connected counterparties.

(iv) In exceptional cases, if a NBFC can demonstrate to the Reserve Bank that a counterparty which is economically closely related to another counterparty may overcome financial difficulties, or even the second counterparty's default, by finding alternative business partners or funding sources within an appropriate time period, then it is not required to classify the entities as a group of connected counterparties.

110.5.3 A summary of the LEF limits for NBFC is given below:

|                                   | (as % of eligible capital base)                                                                                                                                              |                                          |
|-----------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
|                                   | NBFC (Other than IFC)                                                                                                                                                        | NBFC (IFC)                               |
| Single Counterparty               | 20%<br>additional 5% with Board approval<br>additional 5% if exposure towards Infrastructure loan/investment<br>(Single counterparty limit shall not exceed 25% in any case) | 25%<br>additional 5% with Board approval |
| Group of connected Counterparties | 25%<br>additional 10% if exposure towards Infrastructure loan/investment                                                                                                     | 35%                                      |

#### 110.5.4 Relation between interconnectedness through control and interconnectedness through economic dependency

There may be situations where the control relationship and economic interdependence are interlinked. Therefore, one group of connected counterparties could include both types of factors in such a way that all relevant counterparties constitute a single risk for the NBFC. Risk of contagion is present irrespective of type of connectedness (i.e. control or economic interdependence) between counterparties. NBFC should assess

counterparties with a view to identifying the chain of contagion leading to possible default of all entities.

#### **110.6 Values of exposures**

110.6.1 An exposure to a counterparty shall constitute both on and off-balance sheet exposures which shall be calculated according to the method prescribed for capital computation in these directions. The exposures shall be permitted to be offset with credit risk transfer instruments permitted in these directions.

110.6.2 Factoring transactions: In the case of factoring on “with-recourse” basis, the exposure shall be reckoned on the assignor. In case of factoring on “without-recourse” basis, the exposure shall be reckoned on the debtor, irrespective of credit risk cover/ protection provided, except in cases of international factoring where the entire credit risk has been assumed by the import factor.

110.6.3 Exposures to Central Counterparties:

(i) The exposures to Central Counter Parties (CCPs), on account of derivatives trading and securities financing transactions outstanding against them shall be assigned zero exposure value. However, these exposures will be subject to the regulatory reporting requirements as specified in paragraph 110.7.

(ii) Amount of the collaterals with CCPs shall be reckoned for arriving at the exposure limit.

(iii) Other exposures: Other types of exposures such as equity stake, funding facilities, credit facilities, guarantees etc., shall be measured according to the rules set out in this framework, as for any other type of counterparty. These exposures shall be added together and be subjected to the LE limit.

110.6.4 Breach

(i) Any breach of Large Exposure limits shall be under exceptional conditions beyond the control of NBFC, and it shall be reported to the Reserve Bank (Department of Supervision, Central Office) immediately and rapidly rectified.

(ii) NBFC cannot undertake any further exposure (at the entity or group level, as the case may be) until it is brought down within the limit.

(iii) Failure to comply with the exposure limit may lead to imposition of penalties on the NBFCs by the supervisor.

### **110.7 Regulatory reporting**

NBFC shall report its Large Exposures to the Reserve Bank (Department of Supervision, Central Office) as per the reporting template given in [Annex XXV](#). The LEF reporting shall cover the following:

- (i) all exposures, meeting the definition of large exposure;
- (ii) all other exposures, measured as specified in paragraph 110.6 of this framework without offsetting exposure value with credit risk transfer instruments, where values stand equal to or above 10 percent of the NBFC's eligible capital base;
- (iii) all the exempted exposures with values equal to or above 10 percent of the NBFC's eligible capital base;
- (iv) 10 largest exposures included in the scope of application, irrespective of the values of these exposures relative to the NBFC's eligible capital base.

### **111. Internal Exposure Limits**

In addition to the internal limits on SSE as specified in [paragraph 92](#) of these Directions, the Board of NBFC shall also determine internal exposure limits on other important sectors to which credit is extended. Further, NBFC shall put in place an internal Board approved limit for exposure to the NBFC sector.